AMERICAN FINANCE ASSOCIATION / ANNUAL MEETING 2026

Board Diversity and the Career Progression of Women

Evidence from SB826

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Research Question

Does increasing female representation on corporate boards improve women's career progression in entry-level and mid-management roles?

Empirical Design

We use SB826 as a natural experiment.

- **Treated:** California-headquartered firms with zero female board members (2017 baseline).
- **Control:** Non-California firms with zero female board members.
- **Post period:** Years after 2018.

Difference-in-Differences:

$$Y_{it} = \beta_0 + \beta_1(\text{Post}_t \times \text{CA}_i) + \alpha_i + \gamma_t + \varepsilon_{it}.$$

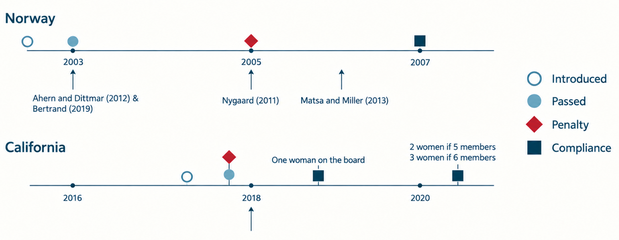
Outcomes are constructed from worker-level measures, normalized by 2017 female employees. Exit rates use contemporaneous female employment in the relevant career group. Promotions include within-firm position changes, including lateral moves.

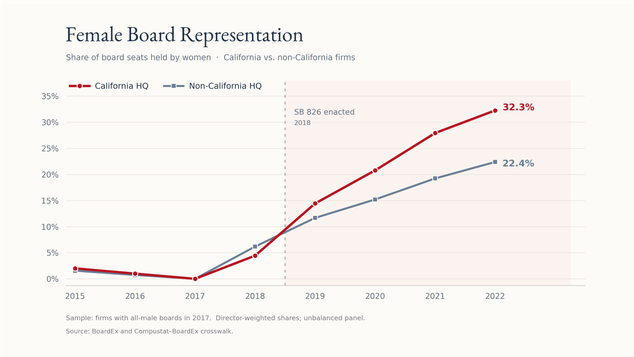
Data

- **Bright Data / LinkedIn profiles:** hiring, promotion, and exit along the career ladder.
- **BoardEx:** firms' board composition.
- **Compustat & Notre Dame SRAF:** firm identifiers and headquarters.
- **Glassdoor:** firm workplace perception ratings.

Institutional Background

Setting: California Senate Bill 826 (SB826) gender board quota (post-2018).





Main Results: Overall

	Total	Hired	Promoted	Exit	Exit Rate
CA × Post2018	0.167**	0.103***	0.019**	0.017***	-0.000
	(0.065)	(0.025)	(0.008)	(0.005)	(0.003)
Firm FE	✓	✓	✓	✓	✓
Year FE	✓	✓	✓	✓	✓
R^2	0.530	0.387	0.380	0.283	0.269
Obs.	2109	2109	2109	2103	2115

Treated firms experience a sizable **increase in female employment** driven primarily by **hiring**.

Results by Career Level

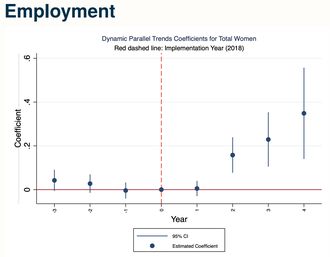
	Mid-Management					Entry-Level				
	Total	Hired	Prom.	Exit	Exit Rate	Total	Hired	Prom.	Exit	Exit Rate
CA × Post	0.056**	0.034***	0.010***	0.002	0.001	0.053	0.057**	0.004	0.011***	-0.005**
	(0.025)	(0.008)	(0.004)	(0.003)	(0.001)	(0.043)	(0.022)	(0.004)	(0.003)	(0.002)
Firm FE	✓	✓	✓	✓	✓	✓	✓	✓	✓	✓
Year FE	✓	✓	✓	✓	✓	✓	✓	✓	✓	✓
Obs.	2109	2109	2109	2103	2115	2109	2109	2109	2103	2115

Mid-management: Hiring (3.4), Promotions (1.0) **Entry-level:** Hiring (5.7), Exits (1.1). These changes are per 100 women employed in 2017.

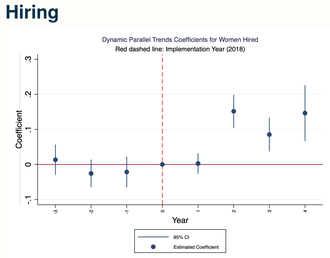
Pipeline expansion: Gains appear in mid- and early-career roles, indicating broader internal mobility rather than symbolic change.

Parallel Trends: Main Outcomes

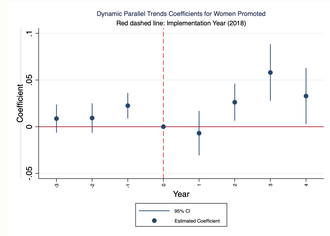
Employment



Hiring



Promotions



Event year 0 is 2018. Bars show 95% confidence intervals. Employment, hiring, and promotions are scaled by the firm's 2017 female workforce.

Economic Magnitudes

For a California firm with **53 female employees in 2017**:

+8.9
Female employees
+16.7 per 100 women (2017)

+5.5
Female hires
+10.3 per 100 women (2017)

+1.0
Female promotions
+1.9 per 100 women (2017)

Mid-management: +3 employees, +1.8 hires, +0.5 promotions. **Entry-level:** +3 hires.

Approximate post-2018 effects per firm, relative to non-California firms.

Mechanism: Committee Appointment

CA × Post × Committee2019

Outcome	Coef.	(SE)	R^2	Obs.
Total	0.404*	(0.217)	0.542	1,798
Hired	0.166**	(0.074)	0.389	1,798
Promoted	0.085***	(0.030)	0.379	1,798
Exit	0.026**	(0.013)	0.315	1,793
Exit rate	0.011**	(0.005)	0.326	1,807
Overall rating	0.148*	(0.081)	0.449	1,176

Committee2019 indicates female board committee membership in 2019. Includes firm/year fixed effects, CA × Post, and Post × Committee2019. Coefficients are committee-related differentials, not full treatment effects.

Beyond representation: Committee membership is associated with larger effects, suggesting that formal authority may matter for organizational change.

Mechanism: Glassdoor Ratings

CA × Post

Outcome	Coef.	(SE)	R^2	Obs.
Overall	0.276***	(0.041)	0.410	1,398
Culture	0.242***	(0.038)	0.421	1,362
Compensation	0.092***	(0.024)	0.440	1,362
Career	0.170**	(0.071)	0.361	966
Work–life	0.182***	(0.041)	0.395	1,363
Leadership	0.279***	(0.039)	0.395	1,361

Firm and year fixed effects in all columns. Ratings range from one to five.

Beyond formal policy: Treated firms experience improvements in workplace culture, compensation, leadership, and career opportunities.

Key Takeaways

Pipeline Effects: Moving from zero to one or more female directors improves hiring at early and mid-career stages, and promotions in mid-management.

Governance Matters: Effects are stronger when women hold committee roles, consistent with meaningful governance rather than tokenism.

Retention: While hiring and exit counts increase, early-career exit rates decline. Higher exit counts do not imply worse retention.

Heterogeneity: Larger effects in profit & loss roles and male-dominated industries, consistent with larger scope for organizational change.

Contribution

- **Quasi-experimental evidence** using California Senate Bill SB826.
- **Focusing on the extensive margin** from 0 to 1+ women on corporate boards.
- Worker-level analysis of hiring, promotions, and exits for employees in **top, mid-management, and early-career** roles.

Table notes. Standard errors, clustered by state, are in parentheses. Samples cover 2015–2022.
* $p < 0.10$; ** $p < 0.05$; *** $p < 0.01$.

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